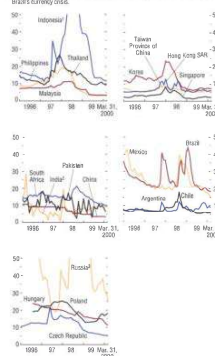


Figure 2.3. Selected Emerging Market Economies:
Short-Term Interest Rates
(Percent)

Short-term interest rates in emerging markets have generally moved in the wake of Brazil's currency crisis.



Sources: Bloomberg Financial Markets, LP, and IMF, International Financial Statistics.

Three-month interbank rate or, if unavailable, comparable market-determined short-term rate.

The Indonesian short-term rate in the first half of September 1998 averaged 70.5 percent.

The bid rate in the overnight call money market.

Three-month interbank transaction rate with expatriation on August 17, 1995, when interest rates reached 12.5 percent, and transaction interest on February 26, 1998, when an interest rate of 15.5 percent.

from 8 percent to 6 percent to boost liquidity and encourage bank lending.

In Latin America, after having lowered the benchmark SELIC rate to 19 percent at the end of September 1999, from a high of 45 percent in late March, the Brazilian central bank abstained from further interest rate reductions during a six-month period to keep inflation under control. At the end of March 2000, the SELIC rate was cut to 18½ percent in view of the *real's* tendency toward appreciation and reduced concerns of the inflationary effects of higher oil prices. Also reflecting inflation-related considerations, the Mexican central bank reduced its daily lending to commercial banks so as to increase money market rates in mid-January 2000. By contrast, the Colombian central bank used a move to a free-floating exchange rate in the early fall of 1999 to ease monetary policy in support of the recovery, lowering its repo rate gradually from 17 percent in mid-August 1999 to 12 percent in mid-January 2000. Monetary policy was tightened again somewhat in February 2000 as the Colombian peso tended to weaken.

Elsewhere among the emerging market economies, the South African Reserve Bank continued to bring its repurchase rate down gradually during the second half of 1999, until it reached 12 percent by the late fall. At that time, the Reserve Bank fixed the rate to help reduce Y2K-related concerns. In mid-January 2000, when the float of the repurchase rate was resumed, the repurchase rate dropped by an additional 25 basis points. In Turkey, the introduction of a new crawling peg exchange rate regime supported by stronger adjustment policies in early January 2000, allowed the central bank to substantially cut its overnight bid and offer rates (Box 2.1). In central and eastern Europe, interest rate hikes in Poland and reductions in the Czech Republic and, in particular, Hungary, reflected differences not only in the growth, inflation, and current account outlook, but also in exchange rate regimes and monetary policy frameworks.

The improved prospects for the emerging market economies have also led to a further narrow-